

US Communications Infrastructure

CoreWeave, Inc.

Rating

Underperform

Price Target

 CRWV

67.00 USD


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CoreWeave (CRWV): What it would take to hit the '26 AOI guide

One of the biggest head-scratchers for us coming out of 1Q earnings was how CRWV plans to hit their AOI guidance of \$900M-\$1.1B for 2026. Q1 was \$21M, Q2 guide is \$30-90M, and margins are in the low single digits: it's a lot of ground to cover. We spoke with the company for clarification and did some back-of-the-envelope math to see what it would take.

CRWV suggests their low adj. operating margin is the result of a scaling problem -

they take ownership of a powered shell and then have OpEx and depreciation for 1-2 months of the outfitting process before they are collecting revenue on that capacity. Because the base is so small relative to the growth, the disconnect is especially painful. We mostly buy this...except they (and consensus) don't see their growth meaningfully slowing, making this an ongoing problem. The company has mentioned a stabilized margin of 25-30% per 4Q25 earnings, but given the growth trajectory, that target is likely at least a couple of years away.

As we pointed out in our [1Q recap](#), we are skeptical of the margin ramp and think

there's meaningful execution risk to this guide. The company is guiding to \$7.3-\$8.5B of revenue in 2H (relative to ~\$4.6B in 1H). That means in the second half of the year, they are bringing on an effective \$5.6B of ARR, with its accompanying facility buildouts.

By our math, if CRWV's outfitting process exceeds an average of 8 weeks or their steady-state margin is lower than 21%—both outcomes that we think are easily

feasible—the company is at risk of missing their 2026 guide. We took CRWV at their word and painted a blue-sky scenario with consensus numbers, assumed fit-out starts at the very beginning of each quarter, and that the base is scaling with consensus estimates. If CRWV does hit their upside scenario—an average of 6 weeks for buildout at 25% stabilized margins—they'll be at the top AOI guidance... but again, for a young company trying to scale very fast, this seems ambitious.

Investment Implications

We are Underperform on CRWV with a price target of \$67. We continue to believe that CRWV will sign more deals. The stock may perform well in the near-term on the momentum of those signings; however, on a long-term, fundamental basis, we have concerns about the business model and CRWV's role in the infrastructure ecosystem.

Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
CRWV (USD)	(1.20)	(4.20)	(2.41)	Revenues (M)	5,131	12,371	19,731	96.1%	EV/EBITDA (x)	39.2	15.4	8.2
				EBITDA (M)	2,442	6,232	11,736	119.2%	EV/EBIT (x)	N/M	503	40.3
									Adjusted P/E (x)	(95.8)	(27.3)	(47.6)

Source: Bloomberg, Bernstein estimates and analysis.

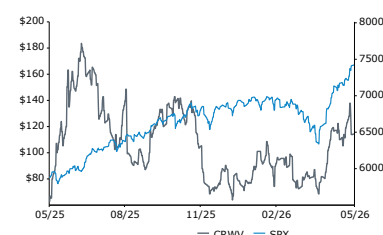
See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

First Published: 12 May 2026 04:01 UTC Completion Date: 12 May 2026 00:19 UTC

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Close Date	11 May 2026			
CRWV Close Price (USD)	114.70			
Price Target (USD)	67.00			
Upside/(Downside)	(42)%			
52-Week Range	187.00/52.90			
SPX	7,412.84			
FYE	Dec			
Div Yield	NA			
Market Cap (USD) (M)	62,806			
EV (USD) (M)	95,687			
Performance	YTD	1M	6M	12M
Absolute (%)	60.2	12.5	29.8	123.3
SPX (%)	8.3	8.7	8.3	31.0
Relative (%)	51.9	3.7	21.5	92.3
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



DETAILS

One of the major questions we have gotten following CoreWeave's 1Q earnings call is the margin dynamic between the fit-out process and revenue recognition, and whether CoreWeave can reach its full-year guidance given the rapid ramp that company guidance lays out. This timing mismatch creates a period where CoreWeave incurs substantial operating costs and capital depreciation before generating revenue, compressing near-term margins even as capacity scales. With multiple facilities coming online throughout the year, the phasing and duration of this pre-revenue expense period will largely determine whether CoreWeave can achieve its profitability targets. In this note, we detail the mechanics of the OpEx-revenue lag and run the math on how it could shape the feasibility of Coreweave's full-year guidance.

To our understanding, the contracting and revenue timeline is anchored to a forward delivery model where customer agreements and equipment procurement are locked in well ahead of site readiness. Upon signing a customer contract—often ~9-12 months prior to go-live—the company concurrently places purchase orders with OEMs (e.g., Dell, Quanta) to secure server supply, mitigating component price volatility, while customers typically procure GPUs directly. Payment terms on servers are generally net 30-90, meaning cash outflow aligns with physical delivery, which typically occurs several weeks before the data center shell is ready. In parallel, the powered shell is constructed and delivered shortly before installation, at which point lease expense, power costs, site OpEx, and depreciation on non-server infrastructure all begin immediately.

Once the powered shell is handed over, there is a total of 6–8 weeks before revenue recognition, including an initial ~3-week fit-out period to install networking and prepare the facility, followed by server deployment and testing. Server-related depreciation begins after installation, while an additional ~3 weeks is spent troubleshooting and optimizing performance, with on-site procurement teams enabling rapid replacement of faulty units. Revenue recognition begins roughly 6 weeks after site delivery, initially at ~80-90% of run-rate capacity in the first 1–2 weeks, ramping to ~99-100% utilization within the first month.

By our math, if CRWV's outfitting process exceeds an average of 8 weeks or their steady-state margin is lower than 21%—both outcomes that we think are easily feasible—the company is at risk of missing their 2026 guide. We took CRWV at their word and painted a blue-sky scenario with 2Q 2026 guidance, consensus revenue numbers for the back half of the year, assumed fit-out starts at the very beginning of each quarter, and that the base is scaling with consensus estimates. We took CRWV's base case of 6 weeks for fit-out (1-2 months) and 25% adj. operating margin (25-30% at eventual steady state). Given the lagged revenue dynamic, we sensitize those two factors to see what it would take for Coreweave to meet its full-year FY26 AOI guidance of \$900-\$1.1B.

We find a steady-state AOI margin below ~21% at a 6-week fit-out period drops the AOI below the guidance range and implies an adj. operating margin of 7-8% for full-year 2026. Alternatively, maintaining the 25% steady-state margin but extending the fit-out period beyond ~8 weeks pulls AOI out of guidance range, implying an operating margin of ~8%. We believe either of these scenarios is relatively likely given the high execution hurdles and sheer volume of builds.

EXHIBIT 1: **AOI Sensitivity to Fit-Out Length (Weeks) and Steady-State Margin (%)**

	AOI Margin Sensitivity					
	Fit-Out Length (Weeks)					
	4	6	8	10	12	
SS Margin (%)						
20.0%	9.3%	7.0%	4.6%	2.1%	-0.6%	
22.5%	10.9%	8.7%	6.3%	3.9%	1.3%	
25.0%	12.6%	10.4%	8.1%	5.7%	3.1%	
27.5%	14.3%	12.1%	9.8%	7.4%	4.9%	
30.0%	15.9%	13.8%	11.6%	9.2%	6.8%	

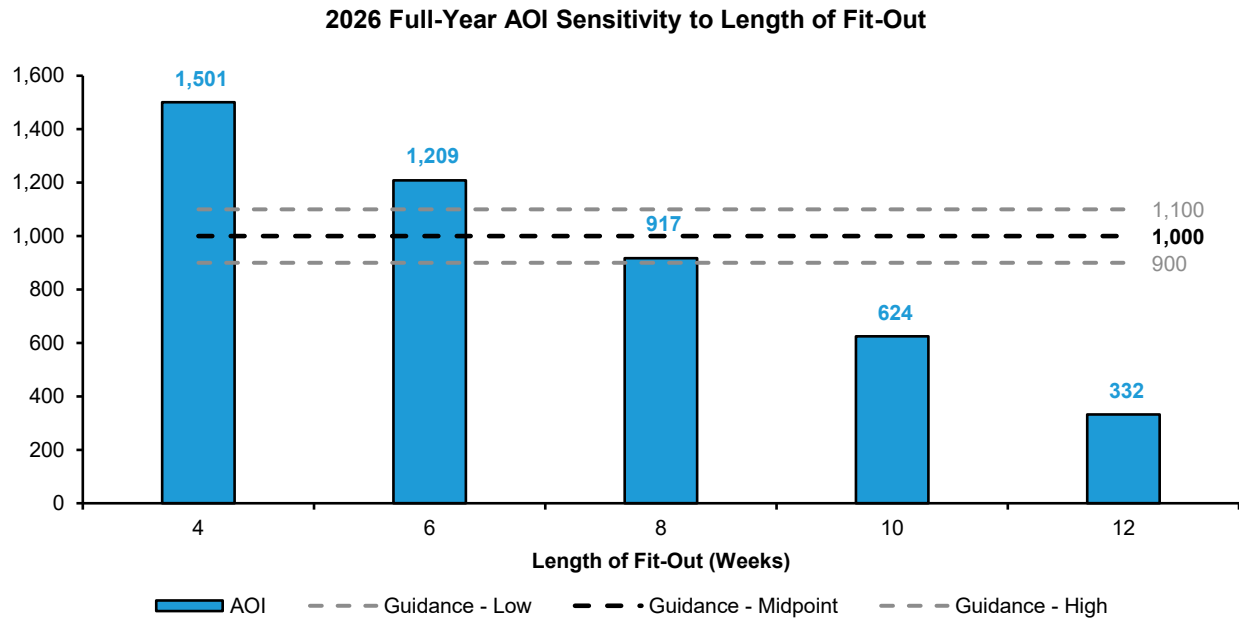
Source: Bloomberg, Company disclosures, Bernstein estimates and analysis

EXHIBIT 2: **AOI Sensitivity to Fit-Out Length (Weeks) and Steady-State Margin (%)**

	AOI Sensitivity					
	Fit-Out Length (Weeks)					
	4	6	8	10	12	
SS Margin (%)						
20.0%	1,106	814	522	229	(63)	
22.5%	1,304	1,012	719	427	135	
25.0%	1,501	1,209	917	624	332	
27.5%	1,699	1,407	1,114	822	530	
30.0%	1,896	1,604	1,312	1,019	727	

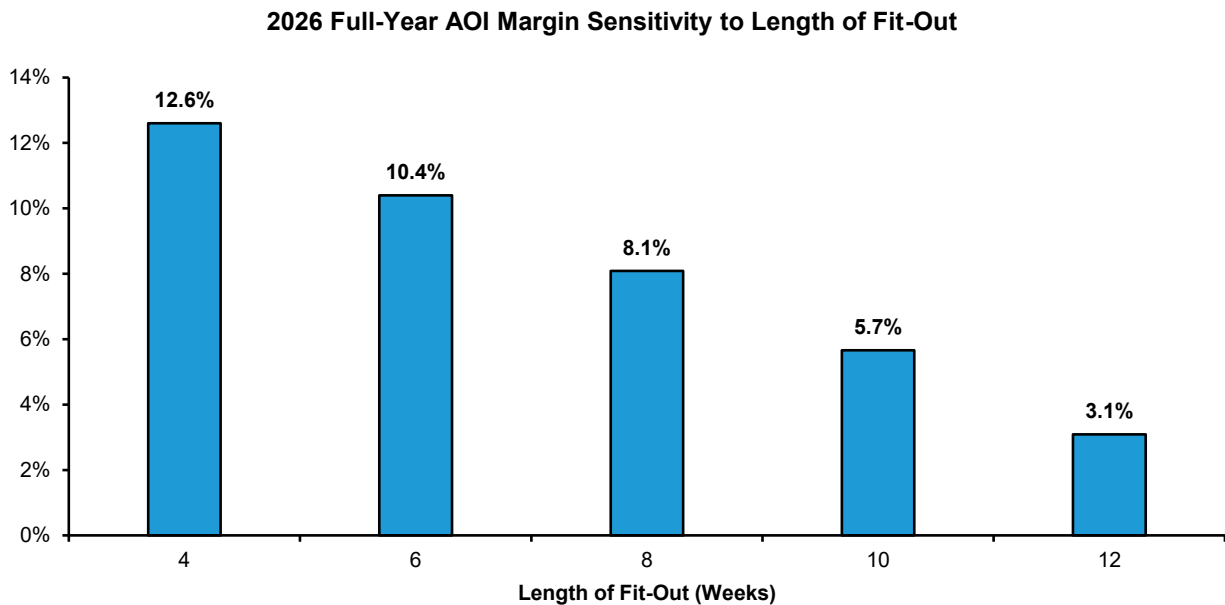
Source: Bloomberg, Company disclosures, Bernstein estimates and analysis

EXHIBIT 3: 2026 full-year AOI sensitivity to length of fit-out, assuming steady-state AOI margin of 20%

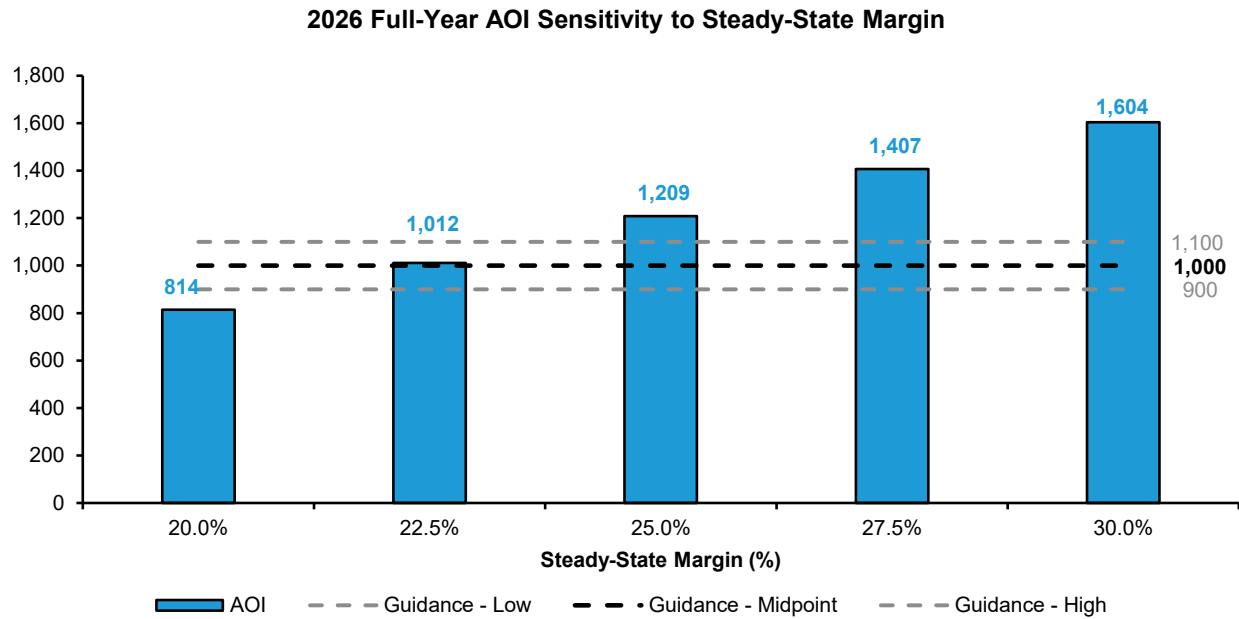


Source: Bloomberg, Company disclosures, Bernstein estimates and analysis

EXHIBIT 4: 2026 full-year AOI margin sensitivity to length of fit-out, assuming steady-state AOI margin of 20%

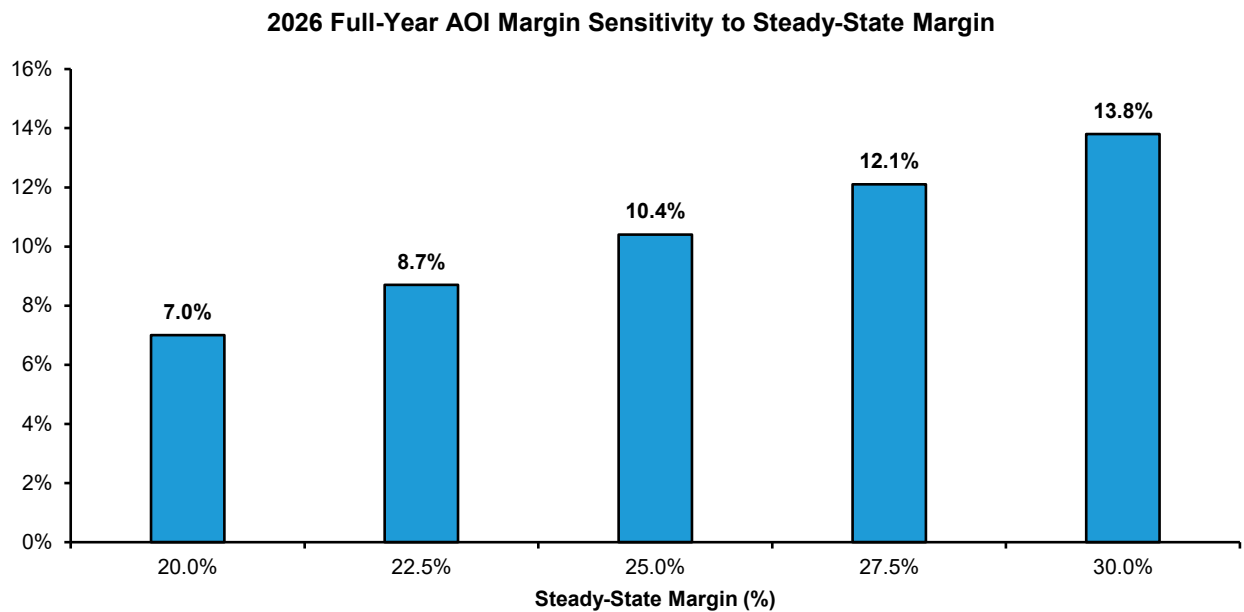


Source: Bloomberg, Company disclosures, Bernstein estimates and analysis

EXHIBIT 5: 2026 full-year AOI sensitivity to steady-state margin, assuming 8-week fit-out period

Assuming 8-week fit-out period

Source: Bloomberg, Company disclosures, Bernstein estimates and analysis

EXHIBIT 6: 2026 full-year AOI margin sensitivity to steady-state margin, assuming 8-week fit-out period

Assuming 8-week fit-out period

Source: Bloomberg, Company disclosures, Bernstein estimates and analysis

BERNSTEIN LONG VIEW

Our case hinges on our longer-term revenue expectations for CRWV, which are significantly lower than street expectations. In general, we question CRWV's ability to continue to sign large-scale hyperscale deals as data center supply becomes more readily available (2028+) and are concerned that hyperscalers are likely to attempt head-on competition with neoclouds for

enterprise business.

We disagree with CRWV's premise that its existing software moat will hold up to hyperscaler attacks, especially given hyperscalers' scale and ability to spend. We do not believe the structural concerns abate with increased AI demand, though the timing for our call may be pushed further out.

Importantly, we do not believe the tide will shift for CRWV in the very near term and anticipate them signing an incremental \$45B of deals between now and the end of 2027. We are roughly in line with consensus for 2026 expectations. By 2027, we begin to diverge, and by 2028, we are ~15% below consensus revenue estimates, accelerating through the forecast window.

EXHIBIT 7: CRWV FY26 Guidance

	FY26 Guidance			
	Midpoint Given 1Q26	Midpoint Given 4Q25	Consensus FY 2026	Estimate FY 2026
Revenue	12,500	12,500	12,543	12,371
Adj. Operating Income	\$1,000	\$1,000	\$992	\$835
Adj. EBIT Margin	8.0%	8.0%	7.9%	6.7%
CapEx	\$33,000	\$32,500	\$32,519	\$33,468

Source: Bloomberg, Company disclosures, Bernstein analysis and estimates

EXHIBIT 8: CRWV 2Q26 Guidance

	2Q26 Guidance		
	Midpoint Given 1Q26	Consensus 2Q26E	Estimate 2Q26E
Revenue	\$2,525	\$2,707	\$2,518
Adj. Operating Income	\$60	\$154	\$78
Adj. EBIT Margin	2.4%	5.7%	3.1%
Int. Expense	\$690	\$561	\$659
CapEx	\$8,000	\$7,566	\$8,459

Source: Bloomberg, Company disclosures, Bernstein analysis and estimates

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 9: CRWV Income Statement Overview

All values in millions, except per share data

	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	1Q27E		FY 2025	FY 2026	FY 2027	FY 2028	FY 2029
Total operating revenues	1,213	1,365	1,572	2,078	2,518	3,863	3,913	4,523		5,131	12,371	19,731	28,004	32,006
Cost of revenue	313	369	509	716	841	1,233	1,171	1,308		1,453	3,961	5,515	7,251	7,857
Technology & Infrastructure	670	747	950	1,273	1,508	2,256	2,207	2,505		2,929	7,243	10,740	14,667	16,333
Sales & Marketing	37	45	52	69	43	66	67	77		144	244	335	476	544
General & Administrative	174	152	150	164	174	228	191	176		651	757	768	1,090	1,246
Total operating expenses	1,194	1,313	1,661	2,222	2,566	3,782	3,635	4,066		5,177	12,204	17,358	23,484	25,979
Operating income	19	52	(89)	(144)	(48)	81	277	456		(45)	166	2,373	4,521	6,027
Total other (expense) income	(262)	(289)	(378)	(512)	(659)	(858)	(954)	(1,097)		(1,170)	(2,984)	(4,668)	(5,429)	(6,218)
Income (loss) from continuing operations before taxes	(243)	(237)	(467)	(656)	(707)	(778)	(677)	(640)		(1,215)	(2,818)	(2,295)	(909)	(190)
Income tax expense (benefit)	48	(127)	(15)	84	-	-	-	-		(48)	84	-	-	-
Net income (loss)	(291)	(110)	(452)	(740)	(707)	(778)	(677)	(640)		(1,167)	(2,902)	(2,295)	(909)	(190)
Dividends and accretions on Series C redeemable prefs	-	-	-	-	-	-	-	-		(29)	-	-	-	-
Net income (loss) attributable to common stockholders, basic	(291)	(110)	(452)	(740)	(707)	(778)	(677)	(640)		(1,196)	(2,902)	(2,295)	(909)	(190)
Change in fair value of common stock warrants	-	-	-	-	-	-	-	-		(27)	-	-	-	-
Net income available to common stockholders	(291)	(110)	(452)	(740)	(707)	(778)	(677)	(640)		(1,223)	(2,902)	(2,295)	(909)	(190)
(+) Adjustments	160	69	168	151	126	193	196	226		562	666	987	1,120	1,280
Adjusted Net Income	(131)	(41)	(284)	(589)	(581)	(584)	(481)	(414)		(606)	(2,236)	(1,308)	212	1,090
Earnings per share (EPS)														
EPS (basic)	(0.60)	(0.22)	(0.89)	(1.40)	(1.34)	(1.48)	(1.28)	(1.21)		(2.42)	(5.51)	(4.35)	(1.72)	(0.36)
EPS (diluted)	(0.60)	(0.22)	(0.89)	(1.40)	(1.34)	(1.47)	(1.27)	(1.20)		(2.42)	(5.45)	(4.23)	(1.64)	(0.34)
Adjusted EPS (diluted)	(0.27)	(0.08)	(0.56)	(1.12)	(1.10)	(1.10)	(0.90)	(0.77)		(1.20)	(4.20)	(2.41)	0.38	1.93

Source: Company filings, Bernstein Analysis and Estimates

BERNSTEIN TICKER TABLE

			11 May 2026		TTM	Adjusted EPS				EV/EBITDA (x)		
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
CRWV (CoreWeave)	U	USD	114.70	67.00	92.3%	USD	(1.20)	(4.20)	(2.41)	39.2	15.4	8.2
SPX			7,412.84									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**CoreWeave, Inc.**

We value CRWV on an EV/Adjusted EBIT multiple. Our \$67 price target is based on an Enterprise Value calculated as 28.4x our 2027E Adj. EBIT per share of \$5.81.

RISKS**CoreWeave, Inc.**

The main upside risks to our price target/Underperform rating on CRWV are 1) Delays in hyperscaler built capacity coming online may maintain CRWV value proposition, 2) Development of CRWV's specialized software platform which maintains demand for CRWV operated data centers, and 3) Continued shortage in power supply to power data centers may sustain CRWV's pricing power

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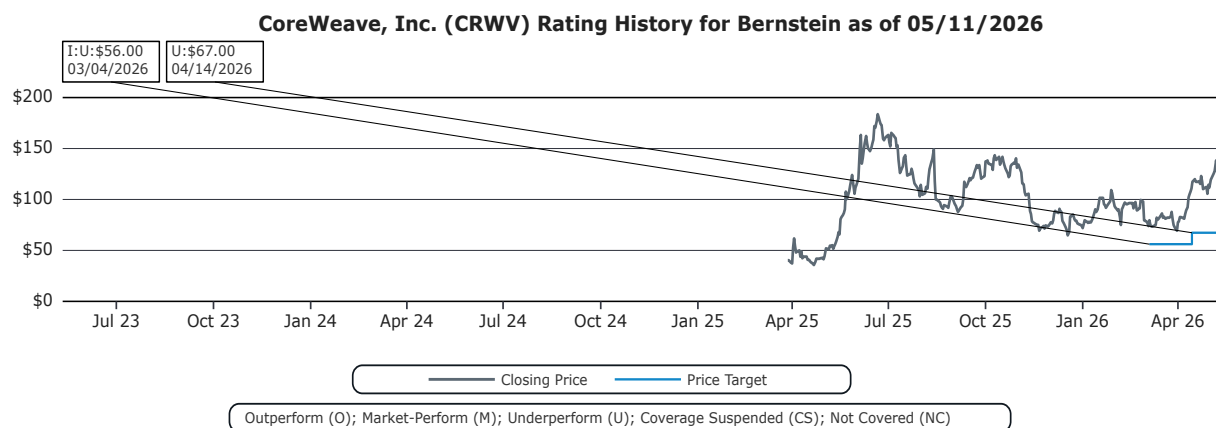
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Outperform	BUY	51.1%	16.5%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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